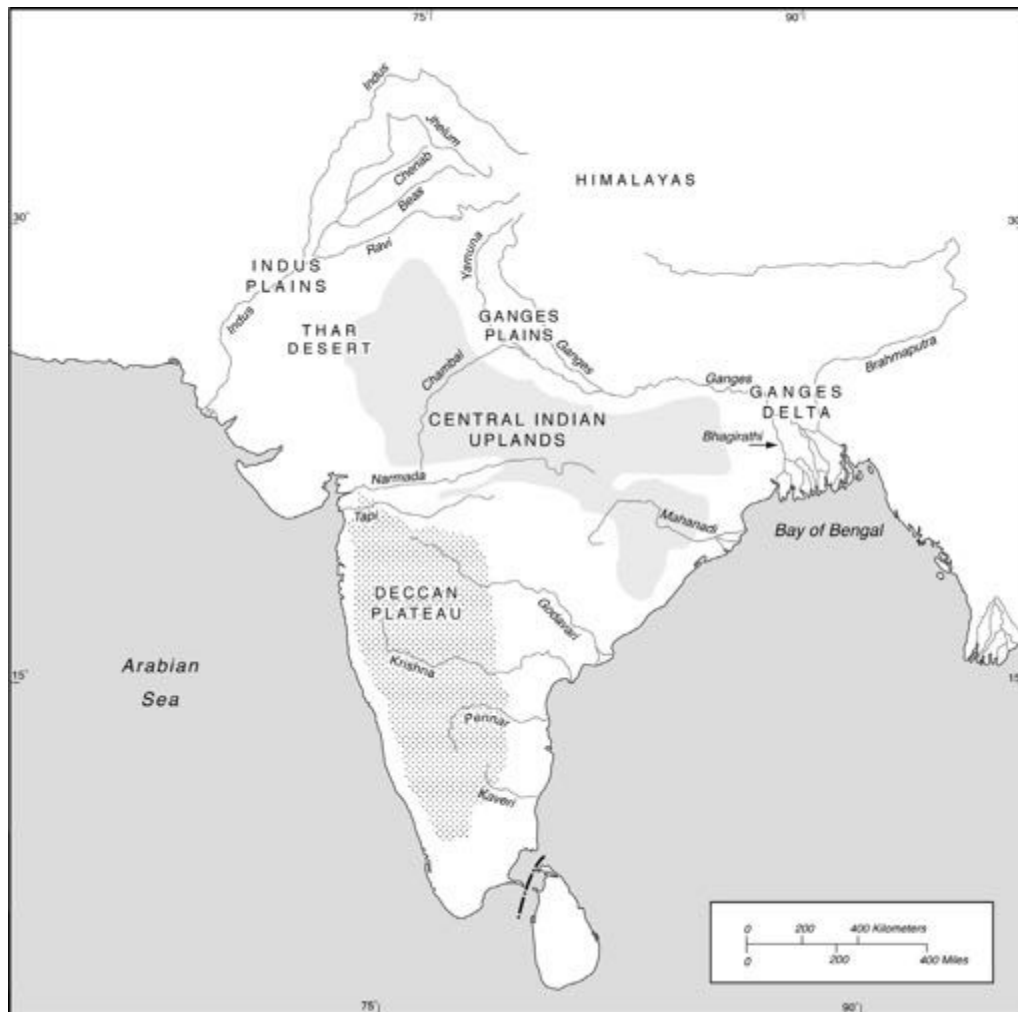


2 The Baseline at 1700

The Indian subcontinent is geographically diverse. A big part of it consists of the Indo-Gangetic Basin formed of the floodplains of two huge Himalayan river systems, the Ganges and the Indus (Map 2.1). The Basin has fertile land that in the past sustained cities, armies, trade, crafts, and states. Elsewhere, agricultural conditions were poorer. But the long coastline contained settlements of traders who conducted a lot of maritime trade around and near the Bay of Bengal, especially the Arabian Sea. Such settlements also occurred in the arid fringes of the western deserts, through which important overland trade routes passed. Around 1700, this composite land was ruled by the Mughal Empire (1526–c. 1720) in the Indo-Gangetic Basin, and by smaller states and semi-independent vassals of the Mughals nearer the coast. Although the Empire did possess ports, overall, it had weak penetration into the coastal areas and into the seas.

Therefore, two quite different types of capitalism functioned side by side, with limited interactions between them. One of these formed along the coasts, lived on maritime trade, and was sponsored by the coastal states. The other one formed in the interior, and served overland trade. The main geographical space for land trade was the Indo-Gangetic Basin. Relatively flat terrain, wheeled traffic, navigable rivers, and cities that were home to wealthy consumers, sustained land trade. Where river traffic ended, caravans began. Bullock caravans linked the Indo-Gangetic Basin with the Deccan Plateau where wheeled and river transport were less developed. Small pack animals crossed the Himalayas to link other parts of land-locked Asia with India. The Empire ruled from northern regions in the Indo-Gangetic Basin. The Empire possessed ports like Surat or Hooghly, but the coast was mainly ruled by smaller local states.

Although these two complexes intersected to some extent, they involved different groups of merchants, different goods, different clients, different sponsors, and possibly, different organisation. Land trade carried grain, silk, textiles, wool, horses, precious stones, and other luxury articles consumed by the military-political elite of the Mughal cities. Sea trade carried mainly cotton textiles. Land trade and the financing of land trade involved communities, such



Map 2.1 South Asia: Geographical features

as the Khattris and Marwaris, who did not have a significant presence in the ports. The sea trade involved communities, such as the Kachchhis, Tamil-speaking Muslim merchant groups like the Marakkayars and the Labbais, the Parsis after 1700, and several European trading firms and merchants, who had limited interest in the goods traded in the interior, and did not usually settle in the interior. The main clients of land trade were the residents of the towns of northern India. The main clients of sea trade were in West Asia, Africa, Southeast Asia, and increasingly in the 1700s, Europe. The fact that sea trade was more cosmopolitan and less state-dependent – that is, less tied to the revenue system – should make for fundamental differences in the nature of the firms and their institutional forms, but there is little information available on these differences.

The two business worlds had weak interaction between them. Several factors kept these complexes separate and parallel. One of these was high trade and transportation cost. Recent scholarship has established that trade costs were (relative to Europe) high in India before the railways started in the second half of the 1800s.¹ Another was politics. The Mughal state, by establishing peace over the vast Indo-Gangetic plains, integrated markets in this zone. Directly it gave many overland traders and town bankers the chance to make money from moving grain or converting grain into cash revenue. The sea was of marginal importance to the Mughals as a source of revenue. It gave them a convenient income and an access to silver, but it was not vital to their survival. The Mughal provinces with extensive sea trade, Bengal and Gujarat, were far enough away from the political centre in Delhi and Agra to maintain a partial autonomy.

This separation between land and sea trades began to end from the 1700s. European merchant firms like the British and the Dutch East India Companies arrived on the Indian coasts in the early 1600s; by the end of the 1600s, they were entrenched there, and in the next century, were joining politics in the interior world and trading in goods produced in the interior.

While the next chapter discusses the integration between the two worlds, this chapter describes the two worlds themselves.

Merchants and Bankers in Land Trade

In the relatively urban Indo-Gangetic Basin, merchant settlements were established in almost every town. Merchants owned boats and transported a variety of goods along the major rivers. Three big long-distance channels of trade involved movements of Bengal silk to North India, grains by bullock caravans from the Indo-Gangetic Basin to the coasts, and cotton from central and southern India to the textile-producing areas. Sushil Chaudhury suggests that the Asian merchants who organised overland trade in the Ganges-Jumna plains exported a lot of the artisanal goods from this region in the late 1700s.²

In the major cities of the Mughal Empire, large banking firms accepted deposits, and did business deals with the military and political elite.³ Frustratingly little information is available on the names, business practices, and

¹ Roman Studer, *The Great Divergence Reconsidered. Europe, India, and the Rise to Global Economic Power*, Cambridge: Cambridge University Press, 2015.

² Sushil Chaudhury, *From Prosperity to Decline: Eighteenth Century Bengal*, New Delhi: Manohar, 1995.

³ Karen Leonard, 'The "Great Firm" Theory of the Decline of the Mughal Empire', *Comparative Studies in Society and History*, 21(2), 1979, 151–67; Irfan Habib, 'Usury in Medieval India', *Comparative Studies in Society and History*, 6(4), 1964, 393–419.

histories of these firms. Mughal nobles ‘themselves at times took a substantial interest in trade’.⁴ Three Governors of Bengal, Mir Jumla, Shaista Khan, and Azimush-Shan, invested in trade, directly or through other merchants. The Europeans needed to negotiate with them commercial taxes and access to supplies.⁵ Besides these exceptional warlord-merchants, there were of course many merchants and bankers. But we have little concrete information on the firms that they owned.

Instead of firms, we encounter Indian merchants as communities. The Punjabi Khatriis were one such community. A steady migration of Khatri individuals into Bengal followed the Mughal invasion of the region (c. 1595). They resettled as court officers, military officers, and landholders under some of the larger estates, known as jagirs. The merchant-cum-banker Amirchand or Umichand, one of the East India Company’s principal agents in the 1750s, was of Khatri origin.⁶ In the mid-nineteenth century, Khatriis were prominent in Calcutta as brokers and agents of European firms, though some of them were soon to be replaced by the Marwaris in that role.⁷

If the Khatri migration began from their position as partners of the Mughal Empire, Marwari migration followed a more commercial logic. Marwar stands for the Jodhpur region (a district and a former princely state of the same name, see Map 2.2) located in southwestern Rajasthan, western India. Marwari refers to a language spoken in Jodhpur and its neighbourhood, and in turn, the people who speak the language. Capitalists held important places in the courts of the princely states in this region. From this origin, the Oswal bankers, an endogamous commercial caste (jati) of this area, dispersed throughout northern India, being ‘known under one denomination, Marwari’.⁸ Outside the Marwar region, the term ‘Marwari’ included more than a dozen endogamous groups, the most prominent among them being Agarwal, Khandelwal, Srimali, Maheshwari, Jaiswal, and Oswal.

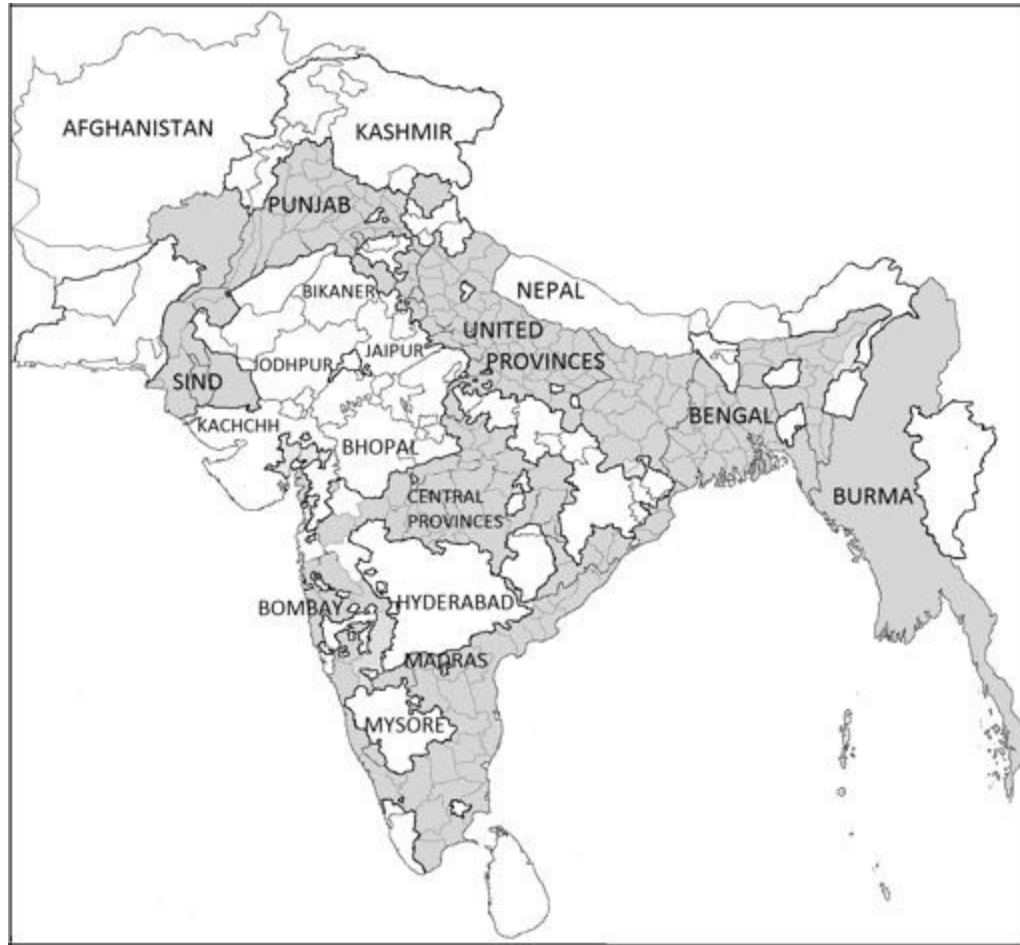
⁴ Sanjay Subrahmanyam, ‘The Mughal State – Structure or Process? Reflections on Recent Western Historiography’, *Indian Economic Social History Review*, 29(3), 1992, 291–321.

⁵ Farhat Hasan, ‘Conflict and Cooperation in Anglo-Mughal Trade Relations during the Reign of Aurangzeb’, *Journal of the Economic and Social History of the Orient*, 34(4), 1991, 351–60. See also on noblemen-traders of Golconda, Sanjay Subrahmanyam and C. A. Bayly, ‘Portfolio Capitalists and the Political Economy of Early Modern India’, *Indian Economic Social History Review*, 25(4), 1988, 401–24.

⁶ John R. McLane, *Land and Local Kingship in Eighteenth-Century Bengal*, Cambridge: Cambridge University Press, 1993, 177.

⁷ Thomas Timberg, ‘Three Types of the Marwari Firm’, *Indian Economic and Social History Review*, 10(1), 1973, 3–36.

⁸ James Tod, *The Annals and Antiquities of Rajasthan*, Vol. 2 of 3, Madras: Higginbotham, 1926, 211.



Map 2.2 British India (shaded) and princely states around 1900

Several of these merchant lineages were concentrated in the arid desert fringe. The region produced few goods of value to commerce, but was important to trade and banking. In the seventeenth century, when two powerful empires, the Mughal (1526–c. 1720) and the Safavid (1501–1722), ruled Southern Asia, Jodhpur town was at the intersection of two overland trade routes of great importance. These were the road between the Mughal capital Agra and Kandahar, a border town occupied by the Mughals and the Safavids at different times, and the road between Ahmedabad and Agra. These roads joined trade traffic along the river Indus and its tributaries. The economic rise of the trading communities from the desert fringe was connected to the prosperity of these territorial empires. In turn, individual Marwaris occasionally joined the Mughal court. One example was Todar Mal, the Emperor Akbar's minister and the supervisor of the first large-scale land survey. These courtier-merchants also owned landed estates, and a few even joined battles, but such cases were exceptional.

Marwaris were close to the regional Rajput states in the seventeenth century, most of which were vassals of the Mughals. Merchants and bankers were frequently recruited into high offices by the Rajput states, as the nineteenth-century European officers-cum-chroniclers James Tod and Alexander Forbes reported. In Phalodi, on the western border of Jodhpur, a seventeenth-century merchant had built a city state.⁹ Outside Rajasthan, the major polities of northern India offered the traders legal autonomy and immunity, so they started to circulate over a large region. The Pax Mughaliana was an impetus to go further afield in search of such custom. Like the Khattris, a few Marwari firms followed Mughal territorial expansion eastward in around 1600 and resettled in eastern India. We do not know enough about the nature of their businesses, but silk textiles and banking were very likely included in the list, for Marwari firms were prominent in both these fields in the eighteenth century. There were, however, few known cases of Marwari relocation and resettlement outside northern India in these centuries.

The riparian highways linked seaports like Surat and Hooghly with the Punjab, where trans-Himalayan caravans descended in winter bringing goods from Central and West Asia for sale in fairs. Only small pack animals could negotiate the mountain passes, so the traders did not have high carrying capacity. It was also entirely seasonal. Typically, the traders carried low-bulk, high-value articles, such as silk and wool.¹⁰ Trade in this setup was sometimes linked to sheep rearing. In such cases, the traders were formed of groups distinct from the merchants who operated in the plains.

In the Deccan Plateau, where roads were few and navigable rivers rare, the main mode of transportation of cargo was the bullock caravan. Unlike the trans-Himalayan caravans, bullock trains carried bulk goods like grain or cotton. But like the trans-Himalayan caravans, the caravan runners in the Deccan were not usually merchants. Among the merchants who owned warehouses and establishments in the market towns, the caste names that represented caravan runners were rare. The comparative advantage that the latter possessed lay elsewhere than in trade. It consisted of the knowledge of routes and of how to maintain livestock. Caravan routes started from market points located on the Ganges (like Mirzapur) and the Indus and went towards central, western, and southern India. The transporters known as Banjaras or Lambadas

⁹ Thomas Timberg, *The Marwaris*, Delhi: Penguin, 2014.

¹⁰ The trans-Himalayan trade with Central Asia has been studied by Scott C. Levi, *The Indian Diaspora in Central Asia and Its Trade, 1550–1900*, Leiden: Brill, 2002, 30–1, and Levi, 'India, Russia and the Eighteenth-century Transformation of the Central Asian Caravan Trade', *Journal of the Economic and Social History of the Orient*, 42(4), 1999, 519–48. Also on overland trade, Sushil Chaudhury and Michel Morineau, eds., *Merchants, Companies and Trade: Europe and Asia in the Early Modern Era*, Cambridge: Cambridge University Press, 1999.

managed these caravans. When the North Indian Sultanate spread its power southward in the fifteenth century, the caravans find mention. Especially during military campaigns in the Deccan, armies relied on caravans, and therefore sources on warfare tend to be informative on the organisation of the caravans.¹¹

Towns in the Indo-Gangetic Basin contained many artisans. Some of the master artisans may have acted also as merchants, certainly as employers, but few details are available on this form of enterprise. Some of the most skilled forms of craft work took place in a type of unit called *karkhana*. The word *karkhana*, common to many Indian languages, derives from Persian. In its original Indianised meaning, *karkhana* was ‘a place where business is done’.¹² More often, the place was a workshop or a warehouse. Any workshop would not qualify to be called a *karkhana*. The word would ordinarily mean a large-scale craft production workshop employing wage labour. In that respect, *karkhana* was the pre-modern factory.

Court officers and European travellers in the Mughal Empire described several large establishments like these in the cities. A common feature of these workshops was that they were owned or sponsored by the court officers. Since these officers formed a part of the consumer class, I would call this setup consumer-owned. In the nineteenth and twentieth century, we again encounter the term ‘*karkhana*’, in the Punjab carpet and shawl industries, for example. But now they were owned by merchants. In the mid-twentieth century, a cluster of textile-producing factories in the southern Maharashtra region (especially Sholapur) was also called *karkhana*. Most of them were owned by artisans. We cannot say how these three general types – consumer-owned, merchant-owned, and artisan-owned – were related, or whether they were related at all except by the generic name that attaches to all three.

The *karkhana* of the Mughal cities was mainly the consumer-owned type. Outside these units, there were surely households and workshops producing goods for the wider market, and surely these two worlds transacted between them. But we know little on that market-oriented artisanal sphere. The Mughal court officer in 1595, Abu’l-Fazl, said that town administration had a say in the appointment of guilds and guild masters.¹³ These guilds worked together with the *karkhana*. The cities had a whole hierarchy of these, most of them owned by courtiers and individuals close to the court. At the very top, of course, was

¹¹ Bhangiya Bhukya, *Subjugated Nomads: The Lambadas under the Rule of the Nizams*, Hyderabad: Orient Blackswan, 2010.

¹² According to a later interpretation, Henry Yule, A. C. Burnell, *Hobson-Jobson: A Glossary of Colloquial Anglo-Indian Words and Phrases, and of Kindred Terms, Etymological, Historical, Geographical and Discursive*, London: Murray, 1903, 125.

¹³ Abu’l-Fazl Allami, *Ain I Akbari* (tr. H. S. Jarrett), Calcutta: Baptist Mission Press, 1891, 42.

the imperial karkhana.¹⁴ Any visitor to the Agra Fort today would marvel at the scale of the place. It was not merely a fort, but a fortified city. Being such, it needed stores and factories to locate inside the fort. This was the milieu where the royal karkhana operated.

Although Abu'l-Fazl mentioned 'guild', guilds in the north European sense – that is, associations bound by their own laws and independent of the state – were not common in this milieu. Most likely, they did not need to exist: the karkhana was powerful enough because its patron was a powerful individual. In one respect, however, the karkhana may indeed have resembled a guild. The goods made in the karkhana were rich in craftsmanship, and training was a very important matter. It is likely that guild-like rules existed to regulate the progression of ordinary artisans to master artisans. Again, little is known of the individuals who worked in these places for us to be more specific on how skills were formed and preserved.

Compared with the land sphere, the sea sphere was distinct in several ways, one of which was that it was more cosmopolitan.

Merchants in Sea Trade

The Arabian Sea has a special place in Indian business history. For centuries, the cities and settlements on the Arabian Sea littoral traded with each other, exchanging Indian textiles for horses, armaments, pearls, and ivory. In turn, some of the textiles were passed on to the Atlantic slave trade in Africa as a medium of exchange, or sent overland to European markets. Coastal merchants indigenous to the region bordering the Sea engaged in this business and developed sophisticated systems of banking and ship-building to support the mercantile enterprise. The Hindu and Muslim traders of Kachchh were examples of such people. In the seventeenth century, the Arabian Sea trade flourished thanks to the control that three powerful empires – the Ottoman in Turkey, the Safavid in Iran, and the Mughal in India – exercised on some of the key seaports. Transactions between these empires initiated a golden age of Arabian Sea trade. Much less systematic information exists on the Bay of Bengal trade (see next).

In 1498, a Portuguese mariner named Vasco da Gama reached Calicut, a seaport on the Malabar coast. He was the first European mariner to complete the journey from Europe to India via the Cape of Good Hope. By doing so, he demonstrated that it was possible for western European merchants to reach India without having to travel overland in West Asia. That route, being

¹⁴ Tripta Verma, *Karkhanas under the Mughals, from Akbar to Aurangzeb: A Study in Economic Development*, Delhi: Pragati, 1994.

controlled by the Ottoman Empire and the Venetian and Genovese merchants, was not found safe enough by western Europeans. In the next one hundred years, first the Portuguese and later the English and the Dutch established trade links between Europe and Asia. In the late seventeenth century, other nations joined the contest for a share in Indian Ocean trade. The records left by these traders revealed a rich world of trade in the seaboard societies, including the chief port Surat.

An earlier scholarship saw this world as a kind of satellite to European trade.¹⁵ That view has been revised in favour of one that sees it as a trading system in its own right, quite different from the one that existed in Agra or Delhi, and one that integrated India with West Asia, East Africa, Southeast Asia, and China.¹⁶ Europeans came here because they were attracted by the goods already traded in Asia. Systematic knowledge of business enterprise remains biased towards those segments where European traders had direct or indirect interest. This is so because many European traders operated as employees of joint-stock companies, and these companies needed to keep more documents for the benefit of the head office than the Indian family firms who operated in these zones. Thus, the Arabian Sea trade and the Coromandel trade are better researched than the northern and eastern half of the Bay of Bengal, which joined the Bengal Delta with Burma, Indonesia, the Malaya, and further, with China, and where European traders did not usually go, but many Asians did. Equally less known is the trans-Himalayan overland trade that joined the Bay of Bengal trade with northeast India and East Asia. New books shed light on trade history in these zones, but the field still lacks information on the individuals and firms that conducted their trades here.¹⁷

¹⁵ Immanuel Wallerstein, 'Incorporation of Indian Subcontinent into Capitalist World-Economy', *Economic and Political Weekly*, 21(4), 1986, PE28–PE39.

¹⁶ The relevant scholarship is very large, a short list of representative works may include K. N. Chaudhuri, *Trade and Civilisation in the Indian Ocean: An Economic History from the Rise of Islam to 1750*, Cambridge: Cambridge University Press, 1985; Kenneth McPherson, *The Indian Ocean: A History of People and the Sea*, Delhi and Oxford: Oxford University Press, 1998; Om Prakash, *The New Cambridge History of India; Vol. II.5. European Commercial Enterprise in Pre-colonial India*, Cambridge: Cambridge University Press, 1998; Sanjay Subrahmanyam, *The Political Economy of Commerce: Southern India, 1500–1650*, Cambridge: Cambridge University Press, 1990; Lakshmi Subramanian, *Indigenous Capital and Imperial Expansion: Bombay, Surat and the West Coast*, Delhi and Oxford: Oxford University Press, 1996; Prasannan Parthasarathi, *The Transition to a Colonial Economy: Weavers, Merchants and Kings in South India, 1720–1800*, Cambridge: Cambridge University Press, 2001. For surveys and collections, Giorgio Riello and Tirthankar Roy, eds., *How India Clothed the World: The World of South Asian Textiles 1500–1850*, Leiden: Brill, 2009; and Tirthankar Roy, *India in the World Economy from Antiquity to the Present*, Cambridge: Cambridge University Press, 2012.

¹⁷ A pioneering collection reflects the strengths and weaknesses of recent research on the Bay of Bengal region, see, Rila Mukherjee, ed. *Pelagic Passageways: The Northern Bay of Bengal before Colonialism*, Delhi: Primus Books, 2011.

Europeans who lived in Surat reported that there were substantial merchants in the town, who owned ships, carried valuable cargo, employed their own staff, and often received special treatment at the ports. A Bohra merchant Mulla Abdul Ghafur, and two Jain merchants, Virji Vora (c. 1585–1670) and Shantidas Jhaveri (c. 1580–1659) appear frequently in early English documentation from Surat. Their interests encompassed trade, shipping, and banking. These sources comment more about their political weight than about their business practices. Jhaveri became infamous for the hand he played in the religious politics of the sect, which prompted one historian to say that ‘the Jain monks needed the businessmen as much as the businessmen needed them’.¹⁸ European accounts show further that these firms gained from lending money to the Europeans, and occasionally forcing them to trade with them or trade in the Arabian Sea on their behalf.

Somewhat smaller in scale were the merchants who did not own ships and often worked as agents of the principal merchants. Below them were many small-scale merchants who carried generic cargo. Shipping was an important marker in this hierarchy. The conjunction of trade and shipping made the magnates at the top either partners or rivals of the European firms. One of the reasons for the vitality of Indian shipping was that it charged lower freight rates than the European ships in the routes that it was familiar with. However, there were not many merchant firms that owned ships, and shipping was not a popular field of investment. It was not, possibly because the ships were individually owned, and while insurance covered the goods, it did not cover the ships.

Compared with Surat, less attention has fallen on Kachchh further north, which conducted a lot of trade in the Arabian Sea. Kachchh is a region with unique qualities. Although poorly endowed with agricultural resources, it has a convenient situation on a navigable part of the eastern Arabian Sea. The ancient Mandvi port bears witness to this importance. Another factor was politics. The western coastal regions were ruled by small states that depended heavily on income from trade. This dependence was owing to the poor agricultural conditions in the region, or more directly, to the fact that marine transport costs were much lower than land transport costs. In turn, these states, though nominally vassals of the Mughals, could exercise a great deal of independence in policy. They used their freedom to create a model of rule where merchants and bankers had a prominent place in local politics, not only during warfare, the all-too-common palace intrigues, or natural disasters, but also in normal times. Merchants and bankers helped the business of governance. They collected taxes, did revenue farming, made loans, and took part in

¹⁸ Makrand Mehta, *Indian Merchants and Entrepreneurs in Historical Perspective*, Delhi: Academic Foundation, 1991, 18.

administration, whereas the states helped them by offering lucrative contracts and implicitly recognising their internal laws and practices.

The merchant groups in question established diaspora networks in port cities around the Arabian Sea. They conducted complicated financial operations including bills of exchange (hundis) and insurance, and their bills were accepted in the distant trading points thanks to the diaspora network. Vaishnavite temples and monasteries effectively became banks, clearing houses, and guarantors of reputation. Community law had great force. The merchants had considerable interest in ship-building, which in turn encouraged the timber trade. In banking, trading, ship-building, and navigation, master–apprentice hierarchies were highly developed, showing how much skills were valued and how skills formed.¹⁹

European entry into this world occurred in sporadic ways in the 1500s. By 1650, Europeans were important actors in the coastal world. And they represented a different type of firm from the Indian ones.

European Merchants

Soon after da Gama discovered the sea route to southern India, other Portuguese mariners reached the Indian Ocean with the intention of taking control over the Indonesian spice trade. The move led to several well-defended settlements to appear on the coasts of Konkan, Persia, the Arab peninsula, East Africa, and Malacca in the Malay Peninsula. Portuguese efforts to license or collect protection money from shipping on the long routes was a partial success at best, though it did lead to a lot of local conflicts. Gujarati shipping on the west coast and Javanese shipping on the east gained from these conflicts, at the expense of Arab shippers.

The English East India Company was established as a trading firm in 1600, with a licensed monopoly to trade in the Indian Ocean. The Dutch Company followed a year later. The English and the Dutch East India Companies entered the Indian Ocean around 1600 with the same aim, but different means from the Portuguese. The shared aim was to take control over spice supplies from Indonesia. The shareholders of these companies were merchants, and preferred diplomacy rather than muscling their way into Asian trade. Diplomacy would mean different things in different parts of Asia, but generally involved obtaining a license to trade against payments to the court.

Conflict with the Portuguese was inevitable as this process unfolded, because all Europeans shared similar trading interests. But in the early seventeenth century, the Portuguese enterprise had dispersed too much to maintain

¹⁹ Chhaya Goswami, *Globalization before Its Time: The Gujarati Merchants from Kachchh*, New Delhi: Penguin, 2016.